



Financial instruments

A financial instrument is something that has value and can be traded. This might be cash or currency, shares, assets, or debts and loans. It can include evidence of an ownership of interest in a company or other entity. Many records of financial instruments are now held electronically.

How they work

Financial instruments are legal agreements that require one party to pay (or promise to pay) money—or something else that has a value—to another person or organization. There are usually conditions attached to an agreement. These conditions might cover the amount and timing of payments of interest, cash, capital gains, premiums, or provision of insurance cover as part of the agreement. As proof that you own a financial instrument, you might hold an actual document, such as a share certificate, an insurance policy, or a contract for a debt or a loan, but shares can also be held in an online account.

WHY HOLD FINANCIAL INSTRUMENTS?

Growth and dividends

Investors buy and trade financial instruments in order to receive a straightforward capital gain, or to receive interest from a bond or from dividends of shares.

Risk control

Buying assets that perform independently of each other (shares from one country, and government bonds from another, for example) can help reduce risk in a portfolio.

Preparing for the unexpected

An investor wishing to hedge their portfolio might buy insurance against that portfolio falling in value. Holding an insurance certificate gives protection against losses that have been set out and agreed in the policy.

Shares



Companies issue shares to investors in return for money. A legal agreement between a company and a shareholder might include the payment of dividends (when and if the company can afford to do so), or perks for as long as the investor holds the shares.

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Currency

Different currencies can be held and traded by investors to exploit movements in exchange rates for profit.

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